Think Ahead ACCA

STRATEGIC BUSINESS LEADER

PRE-SEEN INFORMATION

Applicable for the June 2024 Exam

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1. Introduction

Praecuro Vet Services Ltd (PVS) provides pet veterinary (vet) services in Arland. It is the fifth largest organisation in the industry in Arland and has been established for 32 years.

2. Pet vet services industry – Arland

Overview

The pet vet services industry provides healthcare for pets. The organisations within the industry employ specialist animal doctors, known as veterinarians, and specialist animal nurses (vet nurses) to deliver veterinary (vet) services in clinics.

Pets are domesticated or tamed animals which are kept primarily as a source of companionship or pleasure. They include cats and dogs as well as other small mammals, some birds, small reptiles and some types of rodent.

Veterinarians study veterinary medicine at university for five years, take demanding exams and undergo rigorous on-the-job training.

Services provided

Services provided by vet clinics for pet owners (clients) and their pets (patients) include:

- Annual vaccinations
- Diagnosis of health conditions and diseases
- Medical treatment once a condition, disease or injury has been diagnosed
- Prescription of medication. A prescription is an authorisation by the veterinarian for the issue of certain medication
- Sale of both prescription and non-prescription medication
- Routine surgical operations
- Referrals for serious medical issues, complex surgery, or specialist services
- Guidance and advice on pet care
- Sale of specialist pet food which addresses specific health and age-related issues
- Sale of other products ('accessories') such as bedding, cages and toys for pets

These services are usually provided via consultations with a veterinarian or a vet nurse. Consultations are usually booked on the telephone or online. In Arland, the average consultancy time is 15 minutes.

Market structure

Traditionally, vet organisations were small businesses run by veterinarians or a group of veterinarians. Each business included one or two clinics. Growth was driven slowly and organically by obtaining new clients.

As the number of pets in Arland increased, the size of many businesses grew. Larger organisations began acquiring smaller ones due to the potential cost savings from economies of scale. It is anticipated that this acquisition activity will continue over the next five years.

More recently, multinational organisations, particularly those which have pet food divisions, have been attracted by the industry's profits and have been acquiring vet businesses. An added attraction of the industry is that it provides another route to market for their pet food products. These multinational organisations are expected to continue their expansion through acquisition activities.

Currently, three multinational organisations control 52% of the Arland pet vet services industry. They operate clinics on a nationwide basis. There are also three large, independent vet organisations which own and operate clinics on a regional basis. Hundreds of smaller businesses, usually employing less than ten people, operate locally.

Market share (by revenue) of major players in the Arland pet vet services industry on 31 March 20X4

Name	Arland market share
Gloas Group	23%
Bellstone Group	16%
Hude Group	13%
Dennis Vet Clinics	7%
Praecuro Vet Services	6%
Good Health Veterinarians	4%
Other	31%

On 31 March 20X4, the Arland pet vet services industry employed almost 36,000 people and generated revenue of $2·5 billion.

Industry outlook in Arland

Revenue

Average annual growth in revenue in pet vet services over the last five years has been 3·5%, but growth levels of 6·8% are expected for the next five years. Levels of pet ownership have been increasing for a decade and are expected to increase at even faster rates over the next five years, thereby increasing demand for services. In addition, advances in pet nutrition, diagnosis, treatment and care are leading to longer pet lifespans.

Revenue growth is also expected from pet healthcare plans, which are increasing in popularity. These spread the cost of treatment pets may need over several months, making complex treatment more affordable.

Changing attitudes to pets is also having a positive impact on revenue. Clients are generally willing to spend increasing amounts of money taking care of their pets. Most pet owners consider the good health of pets to be a necessity and use the services of veterinarians regardless of their disposable income.

Costs

Staff costs, including training, comprise the biggest proportion of the costs incurred by a pet vet organisation. Purchases include medical supplies such as medication, bandages, and syringes as well as products purchased for resale (pet food and accessories). Other costs include premises, administration, health, and safety (for example in relation to the storage of medicine) and marketing.

Clients

Whilst historically pets have tended to be owned by those over the age of 35, 60% of new pet owners in Arland in the last five years are aged 16 to 34.

Clients choose clinics which they can travel to easily so that they can get there quickly in an emergency and so that they can minimise transportation time for their pets. Clients are increasingly looking for convenient consultation times – in evenings and at weekends – meaning pet vet organisations are under pressure to extend opening hours.

Many clients benchmark consultation fees charged by organisations in the same area. In order to keep fees low, many vet organisations mark up medication prices rather than increase consultation fees.

Challenges within the industry in Arland

Recruitment and retention of staff is becoming increasingly difficult. There is an increasing demand for veterinarians because of the recent rise in the number of pets in Arland, and fewer people are training as veterinarians because of the rising cost of the training. These two factors have led to a nationwide shortage of veterinarians.

Long working hours – driven by a shortage of staff, a sharp rise in pet ownership and client demands for a 24 hours a day, 7 days a week, 365 days a year (24/7/365) service – are an increasing problem across the industry. Challenging negotiations with pet owners who cannot afford treatment are a regular occurrence. These two issues are having an effect on the wellbeing of staff. Across the industry, 5% of staff are absent with work-related stress and staff retention is problematic, with average staff turnover at 13%.

Client loyalty is low. There is a high level of competition on fees, quality of care, range of services offered and opening hours between clinics which are located close to each other.

Although competition has fallen to some extent over the past few years because of industry consolidation, competition from other channels is increasing as follows:

Source of competition	Services provided
Large, budget pet superstores	Two superstores (Best4Pets and Pet Fare) sell a wide range of pet food and pet accessories at low prices. Store staff (who do not have vet training) also offer general advice about pets.
Online pet medication providers	If clients obtain prescriptions from their veterinarians, they can buy prescription medication, often at a significant discount to the prices charged by pet vet organisations, from online pet medication providers.
Telehealth	Telehealth uses electronic communication and information technologies to enable healthcare professionals to provide healthcare services remotely (at a distance). There are several pet vet telehealth providers in Arland offering services to their own clients or on behalf of other organisations. Some only offer remote services such as advice 24/7/365 via telephone, webchat, or video consultations, while others provide a mix of both remote and face-to-face services.

Pet healthcare has a large carbon footprint due to waste production, resource consumption and medicines usage. There have been recent negative press reports on the human healthcare industry which highlight the need to consider the environmental impact of that industry and there are fears within the pet vet services industry that it will soon face similar negative publicity.

Innovation and developments

Technology is often recognised as one of the main challenges facing the pet vet services industry. Technological advances in human healthcare, such as the use of artificial intelligence and machine learning, are expected to continue to filter down into more advanced medical, surgical, and diagnostic pet vet procedures. Many developments have made the industry more capital intensive but have led to an increase in the quality and breadth of services which veterinarians

can provide. Some of these new and improved services are expensive to deliver, but technology has also reduced some consultation times meaning pets can be treated at a lower cost to clients.

Technology has also had a favourable impact on both the business management software used by the industry and communication with clients. Digital technology is being increasingly used by the Gloas Group, Bellstone Group and Hude Group to market their services more effectively.

Telehealth is providing increased flexibility and convenience for clients.

Industry bodies, regulations and legislation

Veterinarians must register with the Chartered College of Vet Professionals (CCVP) which regulates them, supports the public interest and safeguards pets. The CCVP's code of conduct sets out the professional responsibilities of veterinarians with respect to patients (the pet), clients (the pet owner), the profession and the public.

The CCVP runs the Standards for Pets Programme (SPP). Most of Arland's pet vet organisations have the Core level of SPP accreditation but only 5% hold the Higher level. The Higher level requires organisations to show how they have achieved extra considerations which benefit the vet team, patients, clients, the community and the environment.

Many veterinarians and vet nurses are members of the Arland Vet Union (AVU), which campaigns for better workplace conditions across the industry. The AVU is increasingly concerned about the wellbeing of its members.

Organisations within the pet vet services industry have several legal obligations. For example:

- Compliance with specific health and safety legislation to protect staff and the general public from, for example, pet-inflicted injuries such as bites.
- Requirement to display a large notice informing clients that they can request a written prescription. This means the client does not need to buy the medication at the clinic treating their pet but can source it elsewhere, potentially more cheaply, should they want to.
- Provision of, or pay another organisation to provide on their behalf, a 24/7/365 emergency service.

3. Praecuro Vet Services Ltd

Background

Praecuro Vet Services Ltd (PVS) is the fifth largest pet vet organisation in Arland. It was established 32 years ago by Pietr Praecuro. Most of its growth has been organic, although under the current board and senior management it has acquired a few small independent businesses which have been successfully integrated into the organisation.

PVS runs 168 clinics in the south of Arland. Clinics vary in size, some having one or two veterinarians, others having nine or ten. PVS's head office, which is also based in the south of Arland, provides finance, IT, purchasing, legal, facilities management and human resources functions.

PVS has a total of 2,490 staff – 860 veterinarians, 925 vet nurses and 705 support staff (receptionists in clinics and head office staff). The ratio of veterinarians to vet nurses to support staff is broadly in line with industry averages.

PVS has a financial year end of 31 March.

Strategic position

Although the prices charged by some other pet vet organisations are significantly lower than those charged by PVS, PVS has differentiated its service offering using three service features. These features have historically driven PVS's growth and provided competitive advantage.

Service feature	
Location	Over 85% of PVS clinics are in town centres. These locations have proved popular because of their convenience. They have car parking for those clients who prefer to drive and are easy to access on foot or using public transport.
Innovation	PVS has developed a wide range of innovative services in pet care, including therapy for pets experiencing behavioural problems and the use of acupuncture for pain relief. It has won numerous awards for these innovations.
Quality of service	PVS has historically had an excellent reputation for the quality of client service and patient care provided by knowledgeable, happy, and engaged staff from welcoming and comfortable clinics. It has prided itself on knowing its market and giving its clients what they want.

These features contributed to PVS winning Arland's Vet Organisation of the Year 11 times, the last time being six years ago.

However, as the industry has consolidated and competition has increased, PVS's revenue has started to decline. Market share has dropped every year since 20X0.

In the last couple of years, several competitors have been aggressively undercutting PVS's prices. Although they offer a very different service culture to PVS's, they have been taking market share.

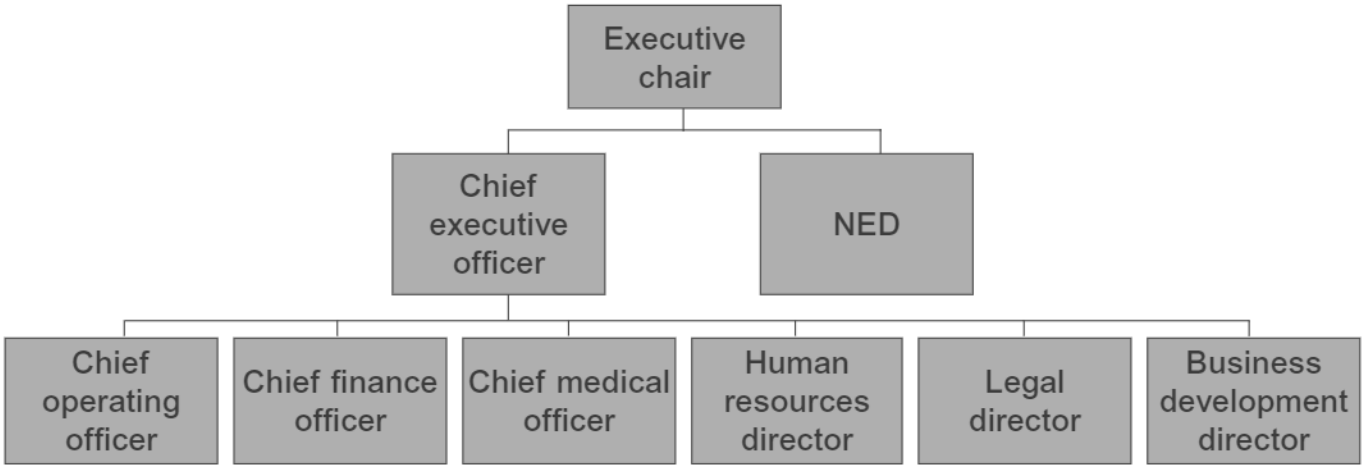
Ownership

Pietr Praecuro retired recently. He no longer has any active involvement in the management of PVS, but he still owns 11·11% of the shares.

The board of PVS has eight executive directors, including an executive chair and a recently appointed chief executive officer (CEO). Each of the executives own 11·11% of the shares. PVS is unlisted and is all equity-financed.

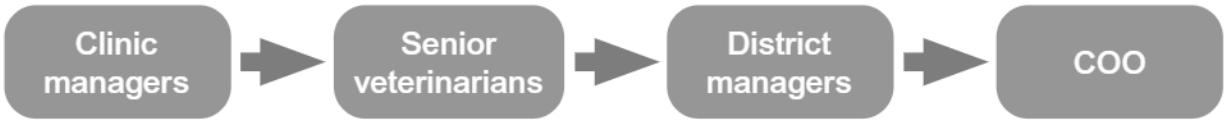
Board and organisational structure

As well as the eight executive directors there is one non-executive director.



As a non-listed company, the directors made the decision not to have audit, nomination and remuneration committees. There is an internal audit function which reports to the chief finance officer.

The chief operating officer (COO) has overall responsibility for the day-to-day operations of PVS's clinics. Individual clinics are managed by clinic managers. Up to ten clinic managers report to each of PVS's senior veterinarians, who in turn report to one of five district managers. The district managers report to the COO but also work with the other executives on, for example, HR or legal issues arising in the clinics for which they are responsible.



The other board members' areas of responsibility are as follows:

Chief finance officer (CFO)	–	Finance, purchasing and internal audit functions
Chief medical officer (CMO)	–	Quality of patient care and medical treatment provided in PVS's clinics
Human resources (HR) director	–	Talent management, compensation and employee benefits, training (in conjunction with the CMO), health and safety
Legal director	–	Minimising PVS's legal risks by advising the other directors and senior management on any major legal and regulatory issues PVS may encounter
Business development (BD) director	–	Increasing PVS's revenue by identifying and developing new business opportunities, as well as expanding brand presence

Most decision making is centralised, for example, on pricing, the roll out of new services and salary levels. District managers and senior veterinarians are responsible for generating growth for the clinics under their management within the parameters set by the board and for using resources efficiently and effectively.

Information systems and use of technology

The business management software used by PVS to record client and patient information and schedule consultations is an off-the-shelf package which has been used by PVS for eight years.

The PVS website includes a search functionality which enables prospective clients to find clinics near them. Basic information about the services offered by each clinic is included, as well as telephone contact details for booking consultations. The website also details the executive team and provides some limited information on PVS, its mission and values.

Although emails are used within PVS and with suppliers, there is no facility for clients to communicate with clinics via email and PVS has only a very limited social media presence.

There is a staff intranet which includes news about what is happening internally within PVS and in the wider industry. There is information and resources for staff and an area for blogs.

Despite its past history of innovation, PVS is yet to make any major investment in technological advances in pet care.

Services

The size of a clinic determines the services offered. PVS's larger clinics can carry out a wider range of diagnosis and surgical procedures than smaller ones. If a smaller clinic cannot carry out a procedure or test, the patient is referred to a larger PVS clinic in the same area.

Although historically PVS developed and introduced an innovative range of pet care services, there has been very little innovation in recent years and in the past two years there have not been any new service offerings.

PVS's clinics are open from 8.30am to 5.30 pm, Monday to Friday. Its veterinarians provide emergency cover outside these opening hours on a rotational basis.

To attract and retain clients in an increasingly competitive market, PVS started the PVS Healthcare Plan two years ago. The Plan provides annual vaccinations and other routine treatments to pets for a monthly fee, payable by direct debit. Clients who join the Plan (known as members) can also pay for the cost of expensive treatments and procedures at a later date. Although this has an impact on PVS's cash flows, the retention rate of Plan members as clients is higher than that of clients who are not Plan members.

PVS has to date relied on the visibility of its town centre locations and word-of-mouth recommendations to attract new customers. Its marketing activities have been limited to posters in clinics and advertisements in local newspapers.

Suppliers

PVS sources all medication and supplies needed for pet treatment from Arland Vet Supplies Ltd, the largest vet wholesaler in Arland. It has a long-established relationship with the supplier and, because purchasing is carried out centrally by PVS's head office based on information from individual clinics, PVS receives good bulk purchase discounts.

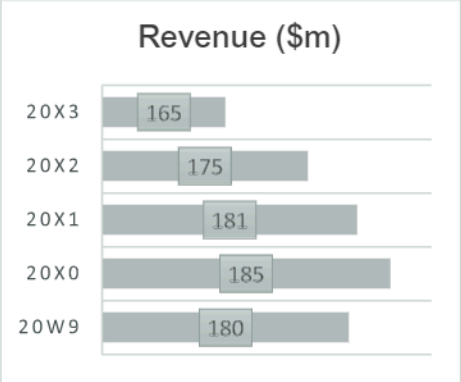
Pet food and accessories are sourced from a number of pet food suppliers, including the Gloas Group, which owns a number of pet food brands, and purchased directly by individual clinics.

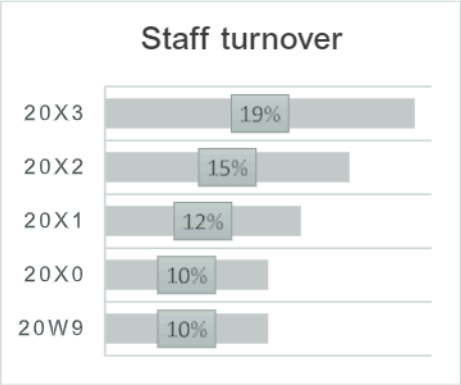
Risks

PVS maintains a risk register and its risk management programme is the responsibility of the internal audit function. The risks covered on the risk register are common to most pet vet organisations in Arland. An extract of the risk register is shown below.

Risk	Description
Competition	From national, regional and local organisations, particularly on price
Key employees	Failure to attract and retain staff, particularly veterinarians, due to shortage in the market
Health and safety	Failure to comply with health and safety legislation
Adverse publicity	From mistakes in diagnosis and treatment

4. Financial information – selected summary





5.PVS website extracts

Praecuro Vet Services

Our mission
To ensure our patients have long and happy lives

Our vision
To be the vet organisation of choice

Our strategic objectives

- Give our clients what they want
- Retain our staff so that we deliver the best client service
- Be leaders in vet care and client service
- Deliver profit via differentiation

Our values

Teamwork and collaboration	Honesty and integrity	Quality and care
We help and support each other so we can help and support our clients and patients.	We are transparent, open and stand up for what we believe is right.	We provide a first-class innovative service by understanding and fulfilling the individual needs of our stakeholders.

Career opportunities at PVS

Are you looking for a fulfilling career with an organisation which aims to be the vet organisation of choice for clients AND staff? We'll empower you to provide the highest levels of service to our clients and offer a family atmosphere, flexible working, a market-leading salary, and generous staff discounts.

We have clear strategies in place to ensure fair pay and fair treatment, to stamp out discrimination and to encourage diversity.

We are proud holders of the Standards for Pets Programme accreditation.